

WILMS

Women's Interest-Free Loan Management System

Financial Engine Book — v1.8.0

WILMS Financial Engine Book

Cover metadata

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| Money unit | Integer pesewas (100 = 1 GHS) |

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Executive summary

WILMS manages women's interest-free group lending programmes. The financial engine is an operational system of record — pool ledgers, payment journals, and expense ledgers — not a statutory double-entry general ledger. All monetary values are stored as integer pesewas to eliminate floating-point errors.

The core money chain flows from registration and approval through admin fee confirmation, pool-gated disbursement, weekly collections with GPS verification, daily reconciliation, and reporting. Expenses affect operating cash only; they never reduce loan principal balances.

Product financial model

WILMS programmes operate on a cash-first, interest-free model:

- No interest accrual engine exists or is planned for v1.x
- Loans draw from named capital pools with hard-stop disbursement

- Weekly instalments are collected in full (no partial payments)
- Admin fees are collected before disbursement is permitted
- Field collectors record payments with GPS metadata
- HQ reconciles physical cash daily against system records

[Diagram: see markdown source for mermaid rendering. PDF export includes text content only.]

Money representation

Integer pesewas

All database columns storing money use integer pesewas. One Ghana Cedi (GHS) equals 100 pesewas. UI components format pesewas for display using shared currency utilities. Server-side arithmetic never uses floating-point for money.

Display	Storage
----- -----	
GHS 10.50 1050 pesewas	
GHS 500.00 50000 pesewas	
GHS 0.01 1 pesewa	

Rounding rules

- Utilisation percent: $\text{MIN}(\text{ROUND}(\text{disbursed} / \text{capital} \times 100), 100)$
- Repayment rate: $\text{ROUND}(\text{collected} / \text{disbursed} \times 100, 1)$ when disbursed > 0
- Variance thresholds compared in pesewas with 100 pesewa (1 GHS) floor

Pool accounting

Each loan pool maintains an append-only pool_allocations ledger.

Event	Allocation type	Effect
----- ----- -----		
Pool created / capital injected REPLENISHMENT Increases pool capital		
Loan disbursed from pool DISBURSEMENT Increases disbursed; reduces available		
Borrower repayment REPAYMENT Increases collected; reduces outstanding		
Manual correction ADJUSTMENT Audited capital correction		

Per-pool formulas

$\text{disbursed_pesewas} = \text{SUM}(\text{DISBURSEMENT allocations})$
 $\text{collected_pesewas} = \text{SUM}(\text{REPAYMENT allocations})$
 $\text{outstanding_pesewas} = \text{MAX}(\text{disbursed} - \text{collected}, 0)$
 $\text{available_capital} = \text{capital_pesewas} - \text{outstanding_pesewas}$
 $\text{outstanding_pesewas utilisation_percent} = \text{MIN}(\text{ROUND}(\text{disbursed} / \text{capital} \times 100), 100)$
 $\text{repayment_rate_percent} = \text{ROUND}(\text{collected} / \text{disbursed} \times 100, 1)$ [when disbursed > 0]

Pool list and dashboard merge loan portfolio totals when allocation aggregates lag (runtime reconcile + migration 0025).

Operating cash

Operating cash represents programme liquidity from collections and fees minus approved expenses:

$\text{net_operating_cash} = \text{collections} + \text{admin_fees_collected} - \text{approved_expense}$
 $\text{MAX}(\text{total_collected} - \text{approved_expenses}, 0)$

Expenses are deducted from operating cash, not from loan principal or outstanding balances.

Disbursement engine

Disbursement requires:

1. Approved loan in PENDING_DISBURSEMENT status 2. Admin fee confirmed and recorded 3. Sufficient available pool capital (hard-stop if not) 4. Actor with disbursement permission

On success, a DISBURSEMENT allocation is written to the pool ledger and the loan transitions to ACTIVE with a generated repayment schedule.

[Diagram: see markdown source for mermaid rendering. PDF export includes text content only.]

Repayment and collections

Business rules

- Full weekly payment only — partial payments are rejected
- Oldest obligation first — payment applied to earliest due instalment
- GPS required on field capture
- Same-day edit window for collectors to correct entries
- Immutability after day-end — no edits once day boundary passes

Collection allocation

When a payment is recorded:

1. Validate full weekly amount matches schedule expectation 2. Write REPAYMENT allocation to pool ledger 3. Update loan outstanding balance 4. Record GPS metadata and collector ID 5. Emit audit log entry and notifications as configured

Outstanding balances

Outstanding at loan level: remaining principal from schedule minus confirmed payments.

Organisation dashboard outstanding:

outstanding = MAX(pool outstanding sum, active/defaulted loan balances)

Admin fees

Admin fees are one-time charges collected before disbursement. The system blocks disbursement until the admin fee is confirmed. Admin fees contribute to net operating cash but are separate from loan principal.

Write-offs and aging

Write-offs (v1.6.2+) proceed through the adjustments maker-checker workflow. Aging analysis reports identify loans by days past due. Write-offs do not bypass audit controls — they require supervisory review.

Reversals

Payment reversals unwind allocation and payment state under controlled paths:

- Negative REPAYMENT allocation posted to pool ledger
- REVERSAL ledger entry for audit trail
- Payment status updated to reversed
- Permission-gated; logged in audit log

Reconciliation

```
primary_variance = physical_cash " expected_due collection_delta = physical_
```

Variance is flagged when:

- `collection_delta > 0`
- `expected_due = 0 and physical_cash > 0`
- `absolute primary variance > 100 pesewas (1 GHS)`
- percentage variance exceeds threshold (default 10%)

Review requires Super Admin access. Collectors bound to own collectorId. REJECTED/REOPENED rows may be resubmitted with history preserved.

Expenses and operating ledger

Expenses follow maker-checker: submitter cannot approve own expense. Approved expenses post as operating ledger ADJUSTMENT entries. They reduce net operating cash but never affect loan principal.

Adjustments

Capital adjustments require supervisory review via /adjustments. Approved adjustments write ADJUSTMENT type pool ledger entries. Residual SoD gaps (self-approve on adjustments) documented as Medium risk in certification packs.

Reporting and aggregates

Organisation dashboard metrics (buildDashboardFinancialOverview):

| Metric | Calculation |

|-----|-----|

| Pool funds | SUM(pool.capital_pesewas) |

| Total disbursed | MAX(pool disbursed, loan portfolio disbursed) |

| Total collected | SUM(confirmed payments) |

| Outstanding | MAX(pool outstanding, active loan balances) |

| Available capital | pool funds " outstanding |

Oversized unpaginated report queries return HTTP 422 (fail-closed).

Integrity controls

| Control | Status |

|-----|-----|

| Admin fee before disbursement | Verified |

| Pool hard-stop | Verified |

| Payment immutability after day-end | Verified |

| GPS on field capture | Verified |

| Reversal unwind | Verified |

| SQL dashboard KPIs | Verified |

| Report truncation refusal | Verified |

| Adjustment self-approve | Residual Medium |

| Expense self-post APPROVED | Residual Medium |

Explicit non-claims

- WILMS is not a statutory double-entry general ledger
- No interest accrual engine (interest-free product)
- Expenses do not affect loan principal balances
- No Production Certified financial seal for all residual items

Appendices

Appendix A — Data integrity workflow

Pool created	!' Capital (REPLENISHMENT)	!' Loan PENDING_APPROVAL
Approve	!' PENDING_DISBURSEMENT	!' Disbursement (DISBURSEMENT)
Collection	(REPAYMENT; GPS required)	!' Reversal (negative REPAYMENT)
Expense	(operating cash; never principal)	!' Dashboard / Reports / E

Appendix B — Related documentation

- docs/FINANCIAL_MODEL.md — architecture hub financial summary
- docs/financial-calculations.md — formula reference
- documentation/books/WILMS_PRODUCT_BOOK.md — product context
- documentation/books/REPORTING_ANALYTICS_BOOK.md — report specifications

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